

NOCIL Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: NOCIL · Report prepared 20 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's earnings-call transcripts and filings.

1 Snapshot

NOCIL makes **rubber chemicals** — mainly **accelerators** (a chemical that speeds up the hardening of raw rubber with sulphur, so a tyre plant can cure a tyre in minutes instead of hours) and **antioxidants** (a chemical that stops rubber cracking and perishing from heat, oxygen and ozone). Roughly 40–43% of the Indian market is NOCIL's; the buyers are overwhelmingly tyre makers, with a smaller "non-tyre" tail of auto components, belts and hoses, footwear, cycle tyres, retreading and latex gloves. Two plants: Navi Mumbai and Dahej (Gujarat). Debt-free.

Number	Value	What it means in plain words
Market cap / price	₹2,696 cr / ₹161	What the whole company sells for on the market today. The 52-week range is ₹204–125, so the stock has been drifting, not compounding.
FY26 sales	₹1,303 cr	Down from ₹1,617 cr in FY23. The company sold more kilograms and collected less money . Prices, not demand, did the damage.
FY26 operating profit / margin	₹97 cr / 7%	Profit from the actual business before interest, tax and depreciation. It was ₹284 cr and 18% in FY22 — a 66% fall in four years .
FY26 net profit	₹64 cr	Down 64% from ₹176 cr in FY22. Earnings per share fell from ₹10.56 to ₹3.84.
ROCE (return on capital employed)	4.37%	Operating profit divided by all the money tied up in the business. NOCIL earns 4.4% on ₹1,780 cr of shareholders' capital — less than a fixed deposit . This is the single most damning number in the file. It was 25–26% in FY18–19.
ROE / P/E	3.09% / 34.4	The company earns 3% on book equity, and the market pays 34 times those depressed earnings. You are paying a recovery price for a no-recovery result.
Other income	₹42 cr	Interest and gains on a ₹434 cr investment pile. This is half of FY26 pre-tax profit (₹84 cr) — i.e. half the reported profit is treasury income, not rubber chemicals.
Borrowings	₹8 cr	Effectively debt-free. There is no solvency question here; the question is purely whether the assets ever earn anything.
Q1 FY27 revenue / EBITDA	₹403 cr / ₹45 cr (11.2%)	+20% year-on-year, +22% on the previous quarter, best margin in nine quarters. The first genuinely good quarter after a five-year slide.

The five-year slide — the spine of this report

	FY22	FY23	FY24	FY25	FY26	Q1 FY27
Sales (₹cr)	1,571	1,617	1,445	1,393	1,303	403
Operating profit (₹cr)	284	249	190	135	97	44
Operating margin	18%	15%	13%	10%	7%	11%
Net profit (₹cr)	176	149	131	108	64	27
ROCE	18%	13%	10%	7%	4%	—
Volume index (Q1 FY20 = 100)	~115	~120	128	~132	~140	145

Read the last two rows together. The "volume index" is management's own measure, where the quarter ending June 2019 is set at 100. Q1 FY27 came in at **145** — NOCIL now ships about 45% more kilograms than it did before Covid. Over the same stretch operating profit fell by two-thirds. **Demand never left. Price and margin per**

kilogram collapsed, because Chinese, Korean and EU producers sold into India below cost. That is why the whole investment case now hangs on import duties and cost, not on customers.

2 Concall coverage

Quarter	Call date	Transcript read?	Quarter	Call date	Transcript read?
Q1 FY27	4 Aug 2026	Yes — in full	Q4 FY24	30 May 2024	Yes
Q4 FY26	8 May 2026	Yes	Q3 FY24	8 Feb 2024	Yes
Q3 FY26	12 Feb 2026	Yes	Q2 FY24	3 Nov 2023	Yes
Q2 FY26	3 Nov 2025	Yes	Q1 FY24	1 Aug 2023	Yes
Q1 FY26	8 Aug 2025	Yes	Q4 FY23	30 May 2023	Yes
Q4 FY25	16 May 2025	Yes	Q3 FY23	11 Feb 2023	Yes
Q3 FY25	7 Feb 2025	Yes	Q2 FY23	9 Nov 2022	Yes
Q2 FY25	29 Oct 2024	Yes	Q1 FY23	29 Jul 2022	Yes
Q1 FY25	9 Aug 2024	Yes	Q4 FY22	18 May 2022	Yes

Honest note on coverage. Screener.in lists 43 NOCIL earnings calls going back to roughly FY12. **18 transcripts were obtained and read** — every call from Q4 FY22 (May 2022) to Q1 FY27 (Aug 2026), i.e. a continuous 4¼-year run. The older 25 calls have no working transcript link and could not be read; nothing in this report rests on them. The Q1 FY27 call was read end to end, prepared remarks and full Q&A.

Latest concall highlights — Q1 FY27 (call 4 Aug 2026)

- **The recovery quarter finally arrived.** Revenue ₹403 cr, +20% year-on-year and +22% sequentially. Operating EBITDA ₹45 cr against ₹31 cr, margin **11.2% versus 9.1%** — the first double-digit margin since FY24. Volumes +9% year-on-year. Profit after tax ₹28 cr, +61%.
- **Explicit FY27 guidance — the central testable promise.** Managing Director V. S. Anand: *"We expect revenue for Financial Year '27 to be in the range of Rs 1,400 to Rs 1,600 crores, based on the current pricing environment, with EBITDA in the region of 10%."* Volume growth assumed at 10%. That is ₹140–160 cr of operating profit against FY26's ₹97 cr — a 45–65% jump. It is the first hard number this management has put on the table in four years, and it is checkable in November.
- **Anti-dumping: one win, one loss, one pending.** Duty on **Sulphenamide accelerators (CBS and NS) was approved by the Central Government on 20 June 2026**. The duty on the antioxidant **TDQ was rejected** by the Ministry. **Pilflex 13** got a positive final DGTR recommendation in June 2026 and awaits Finance Ministry sign-off, expected *"maybe by the end of September"*. With PX13, duty-covered revenue is **25–30%** — down from the "40% of our business" management quoted for two years.
- **None of Q1's margin gain came from the duty.** CFO P. Srinivasan, asked directly: *"the ADD has been notified on 20th June... for the quarter ended June, I think there is no gain there."* The 11.2% margin was volume, price pass-through of higher raw-material cost, and inventory — not protection. Management would not quantify the inventory gain when asked.
- **Volumes dipped 3% sequentially, and the reasons were operational, not demand.** Middle East war freight, gas price spikes and availability, regulator-imposed throughput limits, plant maintenance, and cooking-gas-driven labour shortages that shut some small non-tyre customers. Management calls the deferred volumes recoverable. Conversion cost jumped from ₹110 cr to ₹130 cr sequentially; the CFO listed five separate "one-off" causes for it.
- **Mix and capex.** Exports 33% of volume, domestic 67%. TDQ plant at Dahej is in trial production with customer samples out; approvals take 6–8 months so meaningful volume is Q4 FY27 at the earliest, *"more into Quarter 1 of next year"*. A further ₹130 cr specialty capex is on track.

2c Business mix & capacity

Domestic vs export: 67% / 33% of volume in Q1 FY27. Exports have been the one reliably growing leg — double-digit growth in FY24 and FY25 — and management confirmed the direction of travel is 40–45% exports by FY28–29.

Tyre vs non-tyre: not disclosed. Across 18 transcripts NOCIL has never given the split, saying only that *"tyre applications take the lion's share"*. Non-tyre covers auto components, belts and hoses, footwear, retreading, cycle tyres and latex gloves. **Specialty products are about 15% of the top line;** the ₹130 cr capex is meant to add another 5–10 percentage points.

Capacity: installed capacity has gone from 1,15,000 tonnes to roughly **1,38,000–1,39,000 tonnes** after the Dahej TDQ project.

NOCIL **refuses to disclose effective (usable) capacity** on grounds of "business sensitivity", saying only that the gap is *"a ballpark of 65%, 35%"*.

Utilisation: about 65%, and it has barely moved in four years. 70–75% in FY22, 62% in FY23, 63–65% in FY24, 70% in Q2 FY25, 65–67% in Q1 FY26, *"around 65%"* in Q2 FY26. **One-third of the plant has been idle for four straight years**, and NOCIL has added capacity on top of it twice (₹250 cr TDQ, now ₹130 cr specialty). Management's defence is that the overall number hides individual products at 90–100%.

Domestic market share: 40–43%, stable for years. NOCIL is not losing customers — it is losing price.

3 Earning-trigger thesis

Is there a real earning trigger here?

There is **one real trigger and two hopes**. The real one is arithmetic: NOCIL runs a 1,38,000-tonne plant at 65%, so every extra kilogram sold drops straight through to profit — that is **operating leverage**, and it is exactly what produced Q1 FY27's 11.2% margin on a 9% volume rise. Management's CFO has even named the threshold: the *"real benefit... somewhere around 160"* on the volume index, against 145 today. The two hopes are the anti-dumping duties (an extra import tax the government levies when foreign producers sell into India below fair value; the Commerce Ministry's **DGTR** investigates and recommends it, but the **Finance Ministry** decides whether to actually impose it) and the new Dahej capacity. Both have already disappointed once: the same DGTR recommendations were rejected by the Ministry in 2021–22, and TDQ was rejected again in 2026. The honest framing is that Q1 FY27 shows the leverage *works* — the open question is whether pricing holds long enough for it to show up for four quarters in a row.

Trigger	What management said	Evidence so far	Time horizon	Strength
FY27 guidance: ₹1,400–1,600 cr at ~10% EBITDA	Explicit, on the record, 4 Aug 2026. Volume +10% assumed. Concedes Q1 pricing will "moderate".	Q1 annualises to ₹1,612 cr at 11.2% — already at the top of the range. But Q1 carried inventory gains management would not quantify, and a ₹20 cr conversion-cost spike it called one-off.	Testable at the Q2 call, Nov 2026	Medium
Operating leverage on idle capacity	CFO: real benefits <i>"somewhere around 160"</i> index; MD expects 150 bps annual margin gain off the FY26 base.	Strongest leg. Index 145 in Q1 FY27 (150 in Q4 FY26) vs 128 in FY24. Margin went 6.4% → 11.2% in two quarters on volume alone. Mechanically real.	Now → FY28	Strong
Anti-dumping duty on Sulphenamides (CBS, NS)	Approved 20 June 2026. Duty recommended around ₹40/kg. Won't quantify the earnings benefit — "premature".	Genuine and notified. But zero benefit in Q1 FY27 , and the CFO cautions foreign exporters may simply absorb the duty, as happened in the insoluble sulphur case.	Q2–Q3 FY27	Medium
Pilflex 13 duty	Positive DGTR final recommendation June 2026; Finance Ministry decision <i>"by the end of September"</i> . MD: <i>"we are quite positive."</i>	Weakest leg. The identical DGTR recommendation was rejected by the Ministry in 2021, ~75% of applications thrown out. TDQ was rejected again in 2026. Coin-flip at best.	Sept–Oct 2026	Weak
	Trial production done, samples with customers. Approvals 6–8 months;	Built into a market where the TDQ duty was refused and imports are rising. Adds capacity to a plant	FY28–FY29	Weak

Dahej TDQ plant + ₹130 cr specialty capex

volumes Q4 FY27, mostly Q1 FY28.

already one-third idle. FY27 contribution admitted to be "significantly lesser".

4 Management consistency scorecard

Period	Promised	What happened	Verdict
May 2022 Q4 FY22	"100% utilisation in September 2023" — repeated three separate times on that one call; "90% to 95% capacity utilisation" by then.	Utilisation fell to 62% in FY23 and is still ~65% in FY26 . Four years later the target has never been approached, let alone hit.	No
Aug 2022 Q1 FY23	Same target, "can get extended by another three to six months". Debottlenecking to cover 1–2 years of demand.	Quietly abandoned three months later. Nov 2022 call: "very difficult to put a timeframe for capacity utilisation." An analyst had to point out the guidance was being dropped.	No
May–Aug 2023	Refused all utilisation and volume guidance: "difficult to put a finger on a precise time line."	Honest, but a full retreat. From here on the company gives no numbers for three years.	Partial
May–Jun 2024 Q4 FY24	Called the bottom, twice on one call. MD: "probably it has bottomed out"; "the margin situation bottoming out, this should hold up in good stead." CFO: "the bottom most period is over."	Flatly wrong. Operating margin went 13% (FY24) → 10% (FY25) → 7% (FY26) , bottoming at 6.4% in Q4 FY26 — eight quarters <i>after</i> the bottom was called.	No
Oct 2024 Q2 FY25	Asked whether cogeneration savings, halved freight rates and operating leverage would show up next quarter, CFO: "Yes, we are going to see that. Those things will come in."	Q3 FY25 operating margin came in at 7% , down from 10%, the worst quarter to that point. The benefits did not come in.	No
Feb 2025 Q3 FY25	Anti-dumping investigations initiated; outcome in "9 to 12 months". Petitions cover ~40% of the business .	Timing roughly held for the DGTR stage (findings March 2026). But the 40% claim did not survive — TDQ was rejected, and by Aug 2026 covered revenue is 25–30% .	Partial
Aug & Nov 2025 Q1–Q2 FY26	Identical sentence on both calls: "the outcome of which is expected in the coming months." Hearing due September 2025.	Slipped. By Feb 2026 the answer was that the case officer had been transferred, hearings had to be repeated, and DGTR had taken a statutory 3-month extension — then "the next 1.5, 2 months." Final Ministry outcomes only landed June 2026.	No
Feb–May 2026 Q3–Q4 FY26	Margin improvement of 150 basis points off the FY26 base, "plus or minus, on an annual basis" over 2–4 years. Rs 250 cr TDQ project IRR assumptions "not significantly" changed.	Notably, an unprompted admission on the Q4 FY26 call: "our metrics were along the lines of profitability and volume growth. So we are a bit behind as far as what we have set out to do. " First real acknowledgement in four years.	Partial
Aug 2026 Q1 FY27	₹1,400–1,600 cr revenue, ~10% EBITDA, +10% volume for FY27. The first hard guidance since 2022.	Open. Q1 is genuinely ahead of it. Check at the Q2 call in November 2026.	Open

Narrative drift. Count the recovery calls: **this is the fifth time in four years** that NOCIL has told shareholders the turn was at hand — full utilisation by Sept 2023 (May 2022), extended by two quarters (Aug 2022), the bottom is in (May 2024), the cost and freight benefits are coming next quarter (Oct 2024), 150 basis points a year (Feb 2026). Every one of the first four was wrong, and three of them were wrong in the same direction: management consistently mistook a *price* problem for a *timing* problem. Watch how the explanation moved. In 2022 the story was demand and utilisation, entirely within NOCIL's control. By 2023–24 it became Chinese overcapacity, export subsidies and "flexible pricing". By 2025 it became a legal case — anti-dumping petitions covering "40% of our business", a number repeated for five straight quarters and then silently marked

down to 25–30% once the Ministry refused TDQ. In Q1 FY27 the story is geopolitics: Middle East war freight, gas prices, cooking-gas labour shortages. **The constant across all four years is that the reason for underperformance is always external and always temporary.** Two things do partly redeem the record. Management never dressed up the numbers — it stopped giving guidance rather than give guidance it would miss, and it said plainly on the Q4 FY26 call that it was behind plan. And its structural claims have held: domestic share really has stayed at 40–43%, exports really did grow double-digit for two consecutive years, and the working-capital cleanup was real (cash conversion cycle cut from 156 to 83 days, funding the year's capex out of released inventory). This is a management that is honest about the past and repeatedly too optimistic about the future.

5 Bottom line

EARNING TRIGGER: QUALIFIED YES — one real mechanism, two lottery tickets

The operating-leverage trigger is real and it is not a forecast: a plant running at 65% just showed what happens when volume moves, taking margin from 6.4% to 11.2% in two quarters on a 9% volume rise. Q1 FY27 annualises to ₹1,612 cr at 11.2% — above the top of management's own FY27 guidance range. That is a genuine inflection and it deserves to be recognised as one. But be precise about what is *not* yet proven. **None** of Q1's margin gain came from the anti-dumping duty; the CFO said so explicitly. Part of it came from inventory gains management declined to quantify when asked twice, and part from passing through raw-material inflation that will reverse if oil and gas prices fall. Of the three duty petitions, one was approved, one was rejected, and the third goes to the same Finance Ministry that refused the identical recommendation in 2021. The "40% of revenue protected" story is now 25–30% at best. And the ₹250 cr Dahej plant plus ₹130 cr of new capex are being added to a factory that has sat one-third idle for four consecutive years, in products where the duty was refused and imports are rising. **The trigger to underwrite is volume and cost, not protection. The single thing to check next quarter is whether revenue and a 10%-plus margin hold in Q2 FY27 without the inventory tailwind** — because the guidance of ₹1,400–1,600 cr at 10% EBITDA is the most specific promise this management has made since 2022, and it is the first one that can be marked in ninety days.

MANAGEMENT CONSISTENCY: NO — four recovery calls, four misses

This is a straightforward No and it should not be softened. NOCIL guided to 100% capacity utilisation by September 2023 and repeated it three times on a single call; utilisation is still around 65% today. It called the margin bottom in May 2024 — margins then fell for a further eight quarters to a low of 6.4%. It said the cogeneration and freight benefits would land in the next quarter in October 2024; the next quarter's margin fell three percentage points. It told shareholders for five consecutive quarters that anti-dumping relief covering 40% of revenue was coming "in the coming months"; it took eighteen more months, arrived on a third of that base, and one product was refused outright. The scoreboard is not opinion: **ROCE has gone from 26% in FY19 to 4.37%, after gross fixed assets and work-in-progress roughly tripled from ₹296 cr in FY16 to over ₹1,000 cr today.** A large capacity programme was built and, seven years on, has never earned its cost of capital — and the company is spending ₹380 cr more on the same idea. Half of FY26's pre-tax profit came from interest on the treasury pile, not from making rubber chemicals. What keeps this from being a governance red flag rather than an execution one is that the disclosure has been clean throughout: no accounting flattery, no fake guidance, an unforced admission in May 2026 that they are "a bit behind", and a genuine working-capital cleanup. So: trust the numbers they report, and heavily discount the numbers they predict. On present evidence the correct posture on the FY27 guidance is **show me in November**, not buy it today at 34 times earnings.